CSIS | KOREA DAILY BRIEF

Friday, October 30, 2026 No. 219 12 min read

TODAY AT A GLANCE

1. Kim Jong Un attended a UAV expo and North Korea fired around 10 short-range ballistic missiles from Wonsan toward the East Sea.
2. South Korea's NIS confirmed the US restricted intelligence sharing after Unification Minister Chung publicly disclosed a North Korean nuclear facility.
3. Korea Hydro and Nuclear Power terminated contractor talks for the $18.7 billion Czech nuclear plant over cost disputes.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,730.74	1,335.10	$113.67	39%	Today	3.00%
−3.5%	−0.4%	−1.1%	+2 pts Oct 13-15	public appearance	Oct 2026

01 | TOP STORIES

NK News / Korea Herald / Korea Times, DPRK

Kim attends drone expo, North Korea fires ~10 ballistic missiles from Wonsan

Kim Jong Un attended the 'Unmanned Aeronautical Technology Development-2026' exhibition on Thursday, calling for 'absolute superiority' in drone technology and observing live-fire demonstrations of suicide attack drones, tactical cruise missiles, and a 600mm multiple rocket launcher dubbed the 'Sniper', publicly demonstrated in a firing exercise for the first time, per KCNA.

Seoul's Joint Chiefs of Staff separately detected around 10 short-range ballistic missiles fired from the Wonsan area toward the East Sea that same day, though the US assessed only 2 ballistic missile launches, with the discrepancy unresolved. South Korea's National Security Office said the launches violated UN Security Council resolutions; trilateral director-general consultations among Seoul, Washington, and Tokyo were held by phone on October 30.

NK News / Hankyoreh, US-Korea

NIS confirms US restricted intelligence sharing after Seoul disclosed North Korean nuclear site

South Korea's National Intelligence Service (NIS) Director **Lee Jong-seok** confirmed to the National Assembly Intelligence Committee on October 29 that the United States began restricting intelligence sharing after Unification Minister Chung Dong-young publicly disclosed information about a suspected North Korean nuclear facility earlier this year.

The NIS separately told the committee that US visa delays affecting NIS personnel assigned to the US Embassy have been resolved and that those personnel are now working normally, characterizing the delays as a global US entry policy tightening rather than a bilateral dispute. The intelligence-sharing restriction adds a new dimension to the ongoing tension over wartime operational control (OPCON) transfer talks, which US and ROK defense chiefs agreed on October 28 to delay to early next year.

Korea JoongAng Daily / UPI / Chosun Ilbo, ROK Economy

Korea Hydro and Nuclear Power ends contractor talks, putting $18.7B Czech nuclear plant at risk

Korea Hydro and Nuclear Power (KHNP) terminated negotiations with Daewoo Engineering and Construction and Doosan Enerbility over their subcontracting role in the *$18.7 billion* Czech Dukovany nuclear plant project, citing cost disputes after talks collapsed.

KHNP vowed no delay to the overall project timeline but has not named replacement contractors. The breakdown comes as Japan's IHI is actively competing for overseas nuclear demand in the same European market.

Korea.net / Reuters, ROK Politics

Lee and Merz launch 'enhanced strategic partnership,' sign double-tax treaty amendment

President **Lee Jae-myung** and German Chancellor **Friedrich Merz** held a bilateral summit at Cheong Wa Dae on October 29, announcing an 'enhanced strategic partnership' covering advanced technology, defense, and critical minerals.

The two sides signed a Korea-Germany double taxation treaty amendment after nine years of negotiations and agreed to pursue a general security of military information agreement. Lee separately urged the European Union to grant Korean firms equal treatment under the proposed EU Industrial Accelerator Act, positioning Seoul as a key EU trading partner.

02 | OVERNIGHT

AP, DPRK

Blockchain firms link North Korea to $6.3B Binance hack

Largest crypto theft on record, surpassing 2025 Bybit breach.

NK News, DPRK

Switzerland opens first diplomatic office in Pyongyang

Swiss FM Ignazio Cassis attended October 30 ribbon-cutting.

The Washington Post, ROK Politics

Prosecutor seeks death penalty for former President Yoon over martial law

Sentencing request filed in ongoing criminal trial.

NK News, US-Korea

USFK commander calls Multi-Domain Task Force 'absolutely attractive' for Korea

Gen. Brunson's pitch raises China contingency concerns.

korea.kr, ROK Economy, Primary

ROK September industrial output up 3.0%, largest gain in 15 years and 6 months

Consumer spending and investment rose concurrently.

Yonhap News Agency, US-Korea

ROK defense chief holds bilateral talks with Singapore, Vietnam at ADMM-Plus

Defense Minister Kang's first multilateral security meeting since taking office.

NK News, DPRK

NK News: North Korea's border artillery display is political messaging, not attack preparation

Analyst Andrei Lankov argues barrels-visible deployment is coercive signaling.

Yonhap, ROK Economy

Incheon Airport check-in restored after ARINC network outage delayed 38 flights

Three Chinese carriers halted; 1,200 passengers stranded before 5:20 p.m. resumption.

03 | STAT OF THE DAY

$6.3B

Crypto stolen from Binance, attributed to North Korea

Blockchain intelligence firm TRM Labs attributed the theft to North Korean actors, making it the largest cryptocurrency heist on record, surpassing the 2025 Bybit breach.

Reuters / AP News / Dong-A Ilbo, Oct 30

04 | PYONGYANG WATCH

Kim Jong Un

Public appearance: Kim Jong Un attended the 'Unmanned Aeronautical Technology Development-2026' exhibition, observing live-fire demonstrations of suicide attack drones, cruise missiles, and the 600mm 'Sniper' multiple rocket launcher, and called for 'absolute superiority' in drone technology.

No KCNA watch flag. 5 provocations logged in the last 7 days.

> *"The aim to seize the absolute superiority in the drone technology is an indispensable option in the light of the ever-changing patterns of modern warfare. Strength precisely means peace and peace is guaranteed only by strength."*
>
> **Kim Jong Un**, North Korea displays drones, missiles as Kim Jong-un urges AI weapons push

TOP KCNA ARTICLES

Reuters

North Korea slams South Korea-US Freedom Flag air defense drills, vows deterrence by force

KCNA denounced joint ROK-US air defense exercises, reiterating Pyongyang's position that it will counter what it calls hostile military activities with force.

SENIOR OFFICIALS

Ignazio Cassis, Swiss Foreign Minister (visiting)

Attended the opening ceremony of Switzerland's first diplomatic office in Pyongyang on October 30, cutting a red ribbon alongside a DPRK diplomat.

> **Bottom line:** State media led with Kim's drone-supremacy call and the 600mm 'Sniper' live-fire debut, while Switzerland's diplomatic office opening in Pyongyang marked the most significant Western re-engagement signal in Pyongyang in years.

05 ROK GOVERNMENT

President and ministries, Friday, October 30, 2026

MINISTRY OF FOREIGN AFFAIRS

FM Cho Hyun

FM Cho meets Korean firms in Atlanta ahead of G20 foreign ministers meeting

FM Cho Hyun convened a roundtable in Atlanta on October 29 with representatives of Korean firms operating in Georgia, Alabama, and Tennessee, including Hyundai Motor, Hanwha Q Cells, LG Energy Solution, and SK On, and urged continued embassy support for their US investment activities. Firms raised requests on visa facilitation, US Section 232 steel tariff response, and closer coordination with state and federal officials.

Primary Foreign Ministry

MINISTRY OF FOREIGN AFFAIRS

First Vice FM Park Yun-ju

First Vice FM meets US National Committee on American Foreign Policy delegation

First Vice FM Park Yun-ju met a five-member delegation from the National Committee on American Foreign Policy (NCAFP) on October 30, briefing them on the ROK government's position on the US-Korea alliance and Korean Peninsula stability and requesting continued NCAFP support for alliance development.

Primary Foreign Ministry

MINISTRY OF FOREIGN AFFAIRS

Second Vice FM Kim Jin-a

10th Korea-Mongolia Joint Committee convenes in Seoul

Second Vice FM Kim Jin-a co-chaired the 10th Korea-Mongolia Joint Committee with Mongolian Cabinet Secretariat Minister Battumur Enkhbayar on October 30, discussing early signing of the Korea-Mongolia Comprehensive Economic Partnership Agreement (CEPA) reached in principle at the July 2026 summit, plus cooperation in critical minerals, infrastructure, and green development.

Primary Foreign Ministry

PRESIDENTIAL OFFICE

National Security Adviser Wi Sung-lac

NSA calls for resolving US intelligence-sharing restrictions; expects SCM progress on OPCON

Presidential National Security Adviser Wi Sung-lac stated on October 30 that restrictions on US-ROK intelligence sharing need to be resolved and expressed expectation of substantive progress on wartime operational control (OPCON) transfer at the Security Consultative Meeting (SCM) scheduled for December.

Yonhap

NATIONAL ASSEMBLY

NIS Director briefs on US intel-sharing restrictions and visa delays for NIS personnel

National Assembly Intelligence Committee

NIS Director Lee Jong-seok briefed the Intelligence Committee on October 29 confirming that the US had curtailed intelligence sharing following Unification Minister Chung Dong-young's public disclosure of a North Korean nuclear facility location, and that visa delays for NIS staff assigned to the US Embassy have been resolved.

Special counsel asks NEC to preserve ballot boxes from June 3 Songpa election

Special Counsel Investigation (Election Commission)

Special counsel Lee Tae-han's team, which investigated ballot shortages on June 3 election day in Seoul's Songpa Ward, asked the National Election Commission on October 30 to preserve 420 uninspected ballot boxes and transferred 13 boxes for further forensic examination at the National Forensic Service.

06 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum stay at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, so there is no baseline reciprocal tariff. Section 301 is now the likely vehicle for any new measure.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B US energy purchases; no official drawdown figure reported to date.

07 | CAPITOL HILL

Yonhap News Agency, Legislation

US bill seeks to ease transfer of American munitions to Ukraine via South Korea and allies

US Congress members are advancing legislation that would facilitate the transfer of American-origin munitions to Ukraine through South Korea and other allied nations, per Yonhap reporting on October 29.

Chosun Ilbo, House, Statement

Republican Rep. Wilson condemns South Korea's Russia ties as 'dangerous and insulting'

Republican Congressman Joe Wilson publicly condemned Seoul's reported diplomatic tilt toward Russia, calling the development dangerous and insulting to alliance principles, per Chosun Ilbo reporting.

08 | NORTHEAST ASIA WATCH

Reuters, Japan-Korea

Germany and South Korea deepen security partnership amid Russia-North Korea concerns

The Lee-Merz summit formalized an 'enhanced strategic partnership' with defense-industrial cooperation components, with Berlin citing Russia-North Korea weapons cooperation as a shared concern. Xavier Brunson walked German Chancellor Merz through the Joint Security Area on October 30.

Korea JoongAng Daily, Japan-Korea

Seoul and Berlin elevate ties; Lee seeks equal EU industry treatment for Korean firms

President Lee Jae-myung pressed German Chancellor Merz to ensure Korean companies receive treatment equivalent to EU member states under the bloc's proposed Industrial Accelerator Act, which could affect Korean battery and semiconductor manufacturers operating in Europe.

09 | KOREA AND THE WORLD

DW, Europe, Diplomacy

German Chancellor Merz says North Korea threatens freedom in Europe

German Chancellor Friedrich Merz stated that North Korea's weapons cooperation with Russia constitutes a threat to European freedom, framing the Lee-Merz summit security partnership partly around the Russia-North Korea axis.

U.S. News & World Report, Middle East, Diplomacy

Seoul weighs Hormuz Strait deployment options including aircraft

South Korea said it is considering deployment options to the Strait of Hormuz including aircraft; President Lee and Saudi Crown Prince Mohammed bin Salman agreed by phone on October 29 to strengthen cooperation as 'future-oriented strategic partners' amid the regional conflict.

digitaltoday.co.kr, Multilateral, Multilateral

South Korea's first IAEA nuclear ministerial meeting closes with SMR and AI on agenda

The IAEA International Ministerial Conference on Nuclear Power hosted in Incheon concluded, with South Korea and the US highlighting complementary strengths in small modular reactor development and nuclear-AI integration.

10 | BUSINESS & ECONOMY

Dong-A Ilbo

Seoul unveils first retirement pension overhaul in 21 years as fund assets hit 500 trillion won

The government and Democratic Party announced a plan to introduce a fund-based system pooling contributions from multiple companies under professional management, targeting an improvement on the average annual return of 2.07% over the past decade. The reform would require all companies to deposit workers' retirement benefits with external institutions by 2030.

Reuters

Chinese EVs gaining ground in South Korea as domestic EV market opens

Reuters reports Chinese electric vehicles are winning over some South Korean buyers, adding competitive pressure on domestic automakers in a home market that had been relatively insulated.

Korea Economic Daily

Horizon Energy to more than double plastic-to-oil capacity in South Korea

Horizon Energy announced plans to expand its plastic-to-oil conversion capacity in South Korea, per Korea Economic Daily reporting.

Horizon Energy

Korea Times

Musinsa, valued at ~10 trillion won, prepares IPO as fashion platform eyes global expansion

Musinsa, which began as an online sneaker community in 2001, is preparing an initial public offering at an estimated valuation of around *10 trillion won* ($7.49 billion), having grown into a platform credited with protecting Korea's domestic fashion market from global retail giants.

Musinsa

11 | UPCOMING

OCT 31

G20 Global Financial Stability Conference 2026

한국개발연구원(KDI) event.

NOV 3

US midterm elections

US midterm elections will determine control of the House and Senate, shaping the FY2027 defense appropriations outlook and prospective Korea-related legislation including MASGA and Section 301 determinations.

NOV 9

Press Briefing: Previewing President Trump's Trip to Asia

CSIS event.

12 | ANALYSIS

OFFICIALS ON X

Wi Sung-lac (National Security Adviser) (@KOREA), October 30

"President Lee and German Chancellor Merz agreed to elevate ties to an 'enhanced strategic partnership,' with both leaders committing to deepen cooperation on semiconductors, batteries, AI, space, automobiles, and carbon-free energy."

The Korea.net post summarized the October 29 Lee-Merz bilateral summit outcome, which included the signing of a double taxation treaty amendment and discussion of a general security of military information agreement. **View on X**

Defense Minister Kang Shin-chul (@ROK_MND), October 29

"Defense Minister Kang Shin-chul attended the 13th ADMM-Plus in the Philippines on October 29, evaluating regional security conditions and discussing cooperation for peace and stability; high-level officials from the US, China, Japan, Russia, and other major countries participated."

The ADMM-Plus appearance was Kang's first multilateral security forum since taking office; he separately held bilateral defense ministerials with Singapore and Vietnam on the same day. **View on X**

Gen. Xavier Brunson (@CDRUNCCFCUSFK), October 30

"Today, I walked the Joint Security Area with German Chancellor Friedrich Merz. Germany's postwar medical support helped the Korean people recover. Germany continues that legacy as the 18th United Nations Command Member State."

Gen. Brunson's Joint Security Area walkthrough with Chancellor Merz occurred on the same day as North Korea's ballistic missile launches, reinforcing the UNC's multilateral deterrence messaging. **View on X**

Lee Jae-myung (@Jaemyung_Lee), October 30

"Entrenched corruption is a crime that undermines the foundations of self-governance and decentralization. Over the past eight months, the National Investigation Headquarters conducted a special crackdown on local corruption and detected over 700 cases. Starting in November, the investigation will expand to cover the entire local civil service sector."

President Lee's post accompanied a directive expanding the police National Investigation Headquarters' anti-corruption crackdown into a second phase covering all regional public officials. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

STATEMENTS

Kim Jong Un

"The aim to seize the absolute superiority in the drone technology is an indispensable option in the light of the ever-changing patterns of modern warfare. Strength precisely means peace and peace is guaranteed only by strength."

The quote accompanied North Korea's first public demonstration of the 600mm 'Sniper' multiple rocket launcher and followed Pyongyang's October 29 ballistic missile salvo from Wonsan.

COMMENTARY

Fast Following: Military Emulation and Twenty-First-Century Transformation. The CSIS analysis traces the concept of 'fast following' from business innovation theory to battlefield practice, documenting how Russia copied Ukraine's Unmanned Systems Forces within 18 months at greater scale. It identifies North Korea as one of several Western Pacific actors fast-following lessons from conflicts it has not yet had to fight, with direct relevance to Pyongyang's accelerating drone and AI weapons push displayed at this week's UAV expo. (CSIS, CSIS)

North Korea Continues Installing New Fencing. 38 North satellite imagery analysis confirms North Korea continues to extend fencing along its border, with construction visible at multiple sites. (Martyn Williams, Peter Makowsky, 38 North)

RESEARCH

The Value of U.S.-Japan-ROK Trilateralism: A View from the Three Capitals. The NBR paper surveys elite opinion in Washington, Tokyo, and Seoul on the value and durability of the US-Japan-ROK trilateral framework, identifying divergent threat perceptions and domestic political pressures in each capital as the primary strains on Camp David commitments. It situates the trilateral against the backdrop of DPRK provocations and China's coercive posture. The paper provides analytical grounding for the October 30 trilateral director-general phone consultations held in response to North Korea's ballistic missile launches. (The National Bureau of Asian Research (NBR), A)

Implication: With the US and ROK delaying top-level OPCON talks and diverging on Russia policy, this paper's framing of structural trilateral strains is directly relevant to alliance managers assessing whether Camp David commitments will hold through the 2026 US midterms.

13 | PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	**27%**	**29%**

Gallup Korea publishes weekly; this reading is 2 weeks old (October 13-15, 2026).

Gallup Korea spotlight (Oct 30, 2026): Party support gap: The Democratic Party leads the People Power Party by 5 percentage points (35% vs. 30%), the narrowest gap since the current government took office.

14 | THE WIRE

US-KOREA

Bloomberg

Bloomberg: South Korea's military ambitions get a reality check

Bloomberg examines constraints on Seoul's defense buildup amid OPCON delay and alliance tensions.

Korea Times

State Dept official says US-ROK can achieve 'great things' in small modular reactors

Deputy Assistant Secretary Christopher Klein made the remarks on the margins of the IAEA International Ministerial Conference on Nuclear Power held in Incheon, calling the global moment a 'nuclear renaissance.'

DPRK

38 North

38 North: North Korea's October 11 defense expo displayed latest ICBM, SLBMs, and 'tactical nuclear attack' submarine

Analyst Vann Van Diepen reviews imagery from the 'National Defense Revolution' inauguration event showing hardware including a MIRV-capable ICBM, older submarine-launched ballistic missiles rebranded as new, and the miniature submarine designated for tactical nuclear strikes.

15 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 219

TOMORROW

G20 Global Financial Stability Conference 2026

Feedback and tips are welcome. Write to **alim@csis.org**.

CSIS | GEOPOLITICS AND FOREIGN POLICY DEPARTMENT | KOREA CHAIR

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

You are receiving the Korea Daily Brief as a member of the CSIS Korea Chair distribution list.

© 2026 Center for Strategic and International Studies No. 219 generated 7:15 AM ET